

Management Summary Report – IndiaKart

To: CEO, IndiaKart

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Executive Summary

Overall, IndiaKart is doing well in terms of sales, but there are a few areas that need improvement. The company has generated around ₹314.74 crore in GMV and ₹205.39 crore in net revenue, which shows a strong business base. At the same time, the cancellation rate is 11.99% and the payment failure rate is 3.5%, both higher than the expected targets. Inventory availability is also 92.2%, which means some sales may be getting lost because products are not always available. Another point I noticed is that Electronics contributes 57.41% of category revenue, so the business is highly dependent on one category. Overall, the business is in a good position, but improving cancellations, payments, stock availability and sales from other categories can help IndiaKart grow more steadily.

Top 3 Findings

- Electronics is the biggest revenue contributor. It contributes 57.41% of category revenue, much higher than the other categories. This is good for current sales, but depending too much on one category can become a problem if demand or supply changes.
- Regular customers are the largest customer segment at around 40.3%, followed by Budget customers at around 25%. One interesting finding is that Budget customers have the highest average order value, while Premium customers are not spending the most per order. This means there may be scope to improve offers and benefits for Premium customers.
- The main operational issues are cancellations, failed payments and stock availability. The cancellation rate is 11.99%, payment failure is 3.5%, and inventory fill rate is 92.2%. Size Issue is also the most common reason for product returns, so this area needs attention.

Risks Identified

- The cancellation rate of 11.99% is above the target of less than 10%. A high cancellation rate means some expected sales are not finally converted into revenue.
- The payment failure rate is 3.5%, while the target is below 2%. These are customers who tried to place an order but could not complete the payment.
- Inventory fill rate is 92.2%, below the target of more than 95%. If popular products are out of stock, customers may buy from another platform.
- 57.41% of category revenue comes from Electronics. Too much dependency on one category can affect overall revenue if that category performs poorly.
- The latest month shows a negative month-on-month GMV growth of 23.74%. However, the last month may have incomplete data, so this should be checked using a full-month comparison before making any conclusion.

Opportunities

- IndiaKart can focus more on categories such as Sports & Fitness and Home & Kitchen. Growing these categories can bring additional sales and reduce dependency on Electronics.
- Regular customers are the largest group, so the company can focus on repeat purchases through loyalty offers, product recommendations and special discounts.

- Since Size Issue is the top return reason, better size charts, measurements, product images and descriptions can help customers choose the right product and reduce returns.
- UPI is the most preferred payment method. Making the payment process smoother and giving quick retry or alternate payment options can help reduce lost orders.

Recommendations

1. **Reduce order cancellations:** Check cancellation reasons every week by category and product. Focus first on the areas with the highest cancellations and work towards bringing the rate below 10%.
2. **Improve payment success:** Find the main reasons for failed payments and provide customers with an easy retry option or another payment method immediately. The aim should be to reduce payment failures below 2%.
3. **Improve stock availability:** Set alerts for low-stock and fast-selling products so that they can be reordered before going out of stock. The inventory fill rate should be improved from 92.2% to above 95%.
4. **Reduce avoidable returns:** Improve size information and product descriptions, and strengthen checks for damaged, defective or wrong products before dispatch.
5. **Grow other categories and customer spending:** Continue the strong performance in Electronics, but also promote other categories through offers and bundles. IndiaKart should also study why Premium customers are not giving the highest average order value and create better offers for them.

Conclusion

IndiaKart has strong sales and a good customer base, but some revenue is being lost because of cancellations, payment failures, stock issues and returns. These are the areas where the company should focus first because improving them can directly help in converting more orders into successful sales. At the same time, growing other product categories and increasing repeat purchases can support long-term growth. The management team should track these numbers regularly and check whether the actions taken are actually improving business performance.